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COPY NO. 30

A REPORT

TO THE

PRESIDENT

BY THE

NATIONAL SECURITY COUNCIL

on

THE CURRENT POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA

February 3, 1949

WASHINGTON

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Auth: EO 11652
Date: 28 NOV 1973
By: Leonard Davis
NATIONAL SECURITY COUNCIL

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February 3, 1949

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NOTE BY THE EXECUTIVE SECRETARY

on

THE CURRENT POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA

References: A. NSC 37/1
B. NSC Action No. 179

At its 33rd Meeting the National Security Council considered a draft report on the above subject (NSC 37/1) and adopted the enclosed conclusions for consideration by the President.

The National Security Council recommends that the President approve the conclusions contained herein and direct that they be implemented by all appropriate executive departments and agencies of the U. S. Government under the coordination of the Secretary of State.

The National Security Council also has in preparation studies regarding further U. S. actions with respect to Formosa which may be deemed desirable in the interests of U. S. security.

SIDNEY W. SOUERS
Executive Secretary

Distribution:
The President
The Secretary of State
The Secretary of Defense
The Secretary of the Army
The Secretary of the Navy
The Secretary of the Air Force
The Chairman, National Security Resources Board

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Auth: E0 11652
Date: 23 Nov 1973
By: Jeanne D. Davis
NATIONAL SECURITY COUNCIL

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February 3, 1949

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REPORT BY THE NATIONAL SECURITY COUNCIL

on

THE CURRENT POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA

1. When the situation in China has developed to the point where we know what governing groups we will have to deal with in Formosa, the U. S. should seek to develop and support a local non-Communist Chinese regime which will provide at least a modicum of decent government for the islands. We should also use our influence wherever possible to discourage the further influx of mainland Chinese. The U. S. should also seek discreetly to maintain contact with potential native Formosan leaders with a view at some future date to being able to make use of a Formosan autonomous movement should it appear to be in the U. S. national interest to do so.

2. This Government should make it discreetly plain to the governing authority on Formosa that:

(a) The U. S. has no desire to see chaos on the mainland spread to Formosa and the Pescadores;

(b) The U. S. has not been impressed by Chinese administration on the islands and believes that if there is continued misrule the Chinese authorities would inevitably forfeit the support of world opinion which might be expected to swing in favor of Formosan autonomy;

(c) U. S. support for the governing authorities of For-

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mosa will inevitably depend in a large measure upon the efficiency of their regime and the extent to which they are able to contribute toward the welfare and economic needs of the Formosan people and permit and encourage active Formosan participation in positions of responsibility in Government.

(d) The U. S. cannot remain unconcerned over possible developments arising from the influx of large numbers of refugees from the mainland and the consequent effects, including the increasing burden on the island's economy, and is disturbed at the indication of the Chinese belief that the building up of military strength on Formosa will in itself provide an effective barrier to Communist penetration;

(e) The U. S. expects that the lessons to be drawn from developments on the mainland and from previous Formosan reactions to Chinese rule will not be overlooked by the Chinese authorities in dealing with the problems of the island and with the Formosan people.

3. The U. S. Government, through the most flexible mechanisms possible, should conduct a vigorous program of economic support for the economy of Formosa, designed to assist the Formosans in developing and maintaining a viable, self-supporting economy.

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